

INTERNAL AUDIT REPORT

Contract Compliance Audit | Report No. AR-02328

Report ID:	AR-02328
Audit Type:	Contract Compliance Audit
Report Date:	November 25, 2024
Audit Period:	2024-07-12 to 2024-11-01
Lead Auditor:	Nicole Santiago (EMP-CORP-00116)
Reviewed By:	Michael Dunn (EMP-64687)
Primary Vendor Reference:	BridgeTech Consulting Ltd (VND-01832)
Subject Employee Reference:	James Price (EMP-63706)
Primary Transaction Reference:	TXN-C1105358070
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This contract compliance audit covered the period 2024-07-12 to 2024-11-01 and examined transactions, approvals, and compliance records associated with vendor BridgeTech Consulting Ltd (VND-01832) and employee James Price (EMP-63706). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **LOW**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1105358070 (amount 17,099.50 AUD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001264	MEDIUM	EXPIRED COMPLIANCE	Compliance record CMP-109850 for vendor Alpha_Inc was in EXPIRED status at time of payment processing.
FND-001896	LOW	EXPIRED COMPLIANCE	Procurement team processed payment without checking compliance status. Certificate had been expired for 464 days.

Finding ID	Severity	Category	Description
FND-000200	LOW	APPROVAL LIMIT	Approval granted by EMP-26765 who was not authorised to approve amounts above \$100,000. Transaction value: \$332,747.
FND-002233	HIGH	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0015 requires receipts for all claims above \$200.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001094	COMPLIANCE RECORD	EVD-QCI-1230	0.90
EVI-003973	EXPENSE CLAIM	EVD-LNH-9770	0.97
EVI-007290	HR RECORD	EVD-TJW-7209	0.54
EVI-008014	COMPLIANCE RECORD	EVD-WPI-9399	0.92
EVI-009365	VENDOR RECORD	EVD-LKM-8481	0.66
EVI-009658	AUDIT REPORT	EVD-YTL-2485	0.87

5. RECOMMENDATIONS

- Review and update vendor risk ratings following adverse compliance findings.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Nicole Santiago	EMP-CORP-00116	2024-11-25
Reviewing Officer	Michael Dunn	EMP-64687	2024-11-27